

Ajanta Pharma — Leveraged Buyout (LBO) Analysis

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1. Executive Summary

This report presents an illustrative leveraged buyout (LBO) of Ajanta Pharma Limited, a mid-cap Indian pharmaceutical company. The model acquires the business at a 9.0x EV/EBITDA entry multiple, funds the purchase with 76% debt (7.0x leverage) and 24% sponsor equity, holds for five years while operating cash flow pays down the debt, and exits at the same 9.0x multiple. The transaction generates a 5.25x multiple on invested capital (MOIC) and a 39.3% internal rate of return (IRR) to the sponsor.

The model is built on four years of audited historicals (FY23–FY26) sourced directly from Ajanta's annual reports, is fully formula-driven, and resolves the interest–debt–cash-flow circularity through iterative calculation. Its entry multiple is deliberately conservative relative to Ajanta's actual market valuation — a choice explained in Section 3.

2. Transaction Structure

Parameter	Value	Note
Entry EV / EBITDA multiple	9.0x	Illustrative (see Section 3)
Exit EV / EBITDA multiple	9.0x	No multiple expansion assumed
Leverage (Debt / EBITDA)	7.0x	₹10,968 cr of new debt
Holding period	5 years	Standard PE convention
Capital structure	76% debt / 24% equity	Classic LBO profile
Entry Enterprise Value	₹14,102 cr	9.0x × ₹1,567 cr FY26 EBITDA

Ajanta is an attractive LBO candidate on the fundamentals: it is a stable, cash-generative business carrying almost no existing debt (₹212 cr against ₹1,567 cr of FY26 EBITDA — just 0.14x), leaving substantial unused debt capacity. The transaction creates ₹9,358 cr of goodwill — the premium of the equity purchase price over net identifiable assets — and follows the standard cash-free, debt-free convention, with the target beginning Day 1 with zero cash.

3. Key Judgment: The Entry Multiple

Ajanta Pharma actually trades at approximately 24–26x EV/EBITDA, reflecting its strong growth and quality. The 9.0x entry multiple used here is therefore not a claim that Ajanta is available at that price — it is a deliberate, illustrative assumption chosen so the deal can support a realistic, debt-heavy LBO structure.

This is itself the central insight of the exercise. At Ajanta's real ~24x multiple, no reasonable leverage level produces a classic LBO capital structure: the purchase price is simply too large relative to the cash flow available to service debt, so the required equity cheque would dominate the deal. This is precisely why premium, high-growth public companies are uncommon LBO targets — private equity firms favour stable, lower-multiple businesses because that is where the leverage mathematics works. The assumption is documented openly in the model rather than hidden.

4. Operating Model & Debt Paydown

The business is projected over the five-year hold with revenue growth tapering from 12% to 8%, a flat 29% EBITDA margin (consistent with Ajanta's historical profile), and capex, D&A, and tax ratios held at recent historical levels. Revenue grows from ₹5,453 cr to ₹8,778 cr and EBITDA from ₹1,567 cr to ₹2,546 cr over the period — this organic EBITDA growth is the primary engine of the returns.

Year	Debt Balance (₹ cr)	Free Cash Flow (₹ cr)
Year 0 (Day 1)	10,968	—
Year 1	10,201	178
Year 2	9,433	347
Year 3	8,665	517
Year 4	7,897	686
Year 5 (Exit)	7,038	859

The debt schedule combines 7% mandatory annual amortization (₹768 cr) with a 100% cash sweep of surplus free cash flow. A notable finding surfaces here: in the early years, mandatory amortization plus interest exceeds free cash flow, so the cash sweep is effectively zero until Year 5. In Year 1, debt service (₹1,058 cr interest + ₹768 cr

amortization = ₹1,826 cr) far exceeds free cash flow of ₹178 cr. The business can service its debt — EBITDA of ₹1,771 cr comfortably covers the interest — but the cushion is thin, and only as EBITDA grows does the picture strengthen materially. This is the leverage risk of the structure, shown directly rather than smoothed over.

5. Returns to the Sponsor

Metric	Value
Exit Year EBITDA (Year 5)	₹2,546 cr
Exit Enterprise Value (9.0x)	₹22,911 cr
Less: Remaining Debt at exit	(₹7,038 cr)
Exit Equity Value	₹15,873 cr
Sponsor Equity Invested (Day 1)	₹3,025 cr
MOIC (Multiple on Invested Capital)	5.25x
IRR (Internal Rate of Return)	39.3%

The 5.25x MOIC and 39.3% IRR are driven by three compounding effects: organic EBITDA growth of roughly 63% over the hold, the amplification effect of leverage (enterprise value grows 1.6x while equity value grows 5.25x, because the debt is largely fixed), and the absence of multiple contraction (entry and exit both at 9.0x). These returns are on the high side of what private equity typically targets (20–25% IRR, 2–3x MOIC), reflecting the below-market entry multiple; the sensitivity analysis in the model shows how returns compress under less favourable assumptions.

6. Limitations

The model applies a single-tranche debt structure rather than the multiple tranches (senior, mezzanine) common in real transactions; working capital is held flat in the free-cash-flow build as a simplification; and the exit assumes a clean sale at the entry multiple with no transaction costs at exit. IRR is computed on a single entry-and-exit cash-flow basis, with no interim distributions modelled. These simplifications keep the model transparent and fully traceable, at the cost of the precision a full transaction model would carry.

7. Conclusion

This LBO model demonstrates the full transaction workflow — structuring, sources and uses, purchase-price allocation, operating projections, a debt schedule with cash sweep, and a returns bridge — built from real financials and resolved through iterative calculation. Its most valuable output is not the headline 5.25x / 39.3% return but the reasoning behind the assumptions: why the entry multiple is set below market, why that reveals a genuine truth about LBO candidacy, and where the leverage risk actually sits in the early years. The judgments are documented rather than hidden, so a reviewer can follow the thinking, not just the result.

End of report.